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Regional Science, Regional Policy, and the "New" Regional Economics: Future Possibilities in Historical Perspective

Niles Hansen

Department of Economics
University of Texas
Austin TX 78712 USA

Recently there has been an unusual amount of soul searching among regional scientists concerning the nature and significance of regional science (for example, Isserman 1993, 1995; Bailly and Coffey 1994). Having been closely involved with regional science for most of its forty years, I find no evidence that the quality of research has declined or that somehow the field has become lost or irrelevant. As in other disciplines, there are on-going feuds between theoretical and applied camps, but this tension is unavoidable and should not be a cause for alarm. The yin and the yang are both necessary.

A Historical Perspective

In many respects, regional science may have been spoiled in its adolescence and now wonders in middle age why life is not as congenial as it once was. This is particularly the case in the United States. In 1965, the U.S. Congress passed the Appalachian Regional Development Act and the Public Works and Economic Development Act, which together represented an unprecedented effort to address regional development problems. Moreover, this legislation also provided unprecedented amounts of research support for regional analyses. In short order, economics departments in major universities throughout the country were becoming active in regional and urban economics. Whatever the motivation for this phenomenon, a great deal of high-quality policy-relevant research was produced, and many of today's older generation of regional scientists were lured into the field by the abundant financial and research opportunities of the period. In 1970, the *Journal of Regional Science* was the fifth-ranked economics journal in terms

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Niles Hansen *is Leroy G. Denman, Jr., Regents Professor in Economics. He earned his Ph.D. (1963) and M.A. (1959) from Indiana University–Bloomington and his B.A. (1958) from Centre College. He has also taught at the University of Kentucky and the University of Montpellier in France.*

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of citations per article published in the previous five years, a position it would be far from attaining in subsequent decades (Laband and Piette 1994).

During the 1970s, interest in regional policy declined at the federal government level and has not been actively revived since. Federal regional policy was in fact largely a failure because for the most part it ignored regional analysis in favor of politically determined (pork barrel) resource allocation. In Western Europe, interest in regional policy at the national level also waned, but regional issues arising from European integration have created a continuing demand for regional science research.

Observers disagree over what effects integration will have in certain areas. Some argue that the process of European integration will largely benefit more advanced core regions because of their agglomeration economies, large markets, human capital, sophisticated producer services, and economies of scale and scope. Others maintain that many historically peripheral areas will benefit from lower labor costs, inflows of capital, improved transportation and communications access to national and international markets, migration inflows of qualified workers from areas experiencing large negative externalities of agglomeration toward amenity-rich areas, and, in numerous cases, the presence of innovative milieux and innovative networks of small and medium-sized enterprises (Illeris 1992; Suarez-Villa and Cuadrado Roura 1993). But the persistence of problems in many economically lagging regions suggests that the cumulative effects of disadvantages, rather than insufficiently open markets, are the main reason for a lack of competitiveness. Begg and Mayes (1993) argue that if this is the case, policies to advance social and economic cohesion need to be an essential part of economic integration, rather than a secondary objective or one addressed only when the terms of the union have been settled. At the very least, they maintain, lagging regions need to be given equality of opportunity. In fact, the regional economies of Europe represent a complicated mosaic. Although it is difficult to forecast accurately where and to what extent growth or decline will take place, because of the many factors underlying development processes, local conditions are likely to play a decisive role (Illeris 1992).

Regional Science and Mainstream Economics

During the past two decades, regional economists have made important contributions to regional science, even though regional economics has been a marginal field in academic economics. Meanwhile, other disciplines, particularly economic geography, have produced a steady stream of high-quality research in theoretical, methodological, and applied regional science. Geography and planning departments have also produced a considerable

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amount of urban and regional research that appears to be motivated by ideological concerns rooted in the political activism of the 1960s. It might be argued that this line of thought alienated mainstream economists, who in turn tend to have their own neoclassical ideological blinders. But in fact, mainstream economists have been almost totally ignorant of all urban and regional research, even that which meets the highest economics standards of theoretical and mathematical correctness.

Having duly recognized the significant inputs of non-economists to regional science, I am nonetheless convinced that the scientific respectability of regional science depends largely on its degree of respectability within mainstream academic economics. If relative salaries are any indication, economists are relatively prestigious social scientists (even if the social element in economic reality is often missing in economic analysis).

Recently, a number of economists associated with highly respected departments have been publishing books and articles in leading economics journals on topics that have traditionally been in the domain of regional science. Some of their contributions were summarized in a *New York Times* article (Nasser 1993) which maintained that regional science is a "hot field" despite the then threatened closing of the University of Pennsylvania regional science department. The implication of the article, obviously based on interviews with mainstream economists, was that regional science is a hot field because acceptable economists are now working in the area, though it was acknowledged that Penn's regional scientists had at least been the (implicitly passive) keepers of some valuable regional knowledge and analytic tools.

One might argue, especially from the viewpoint of policy relevance, that the "new" regional economics has produced little that has not already been done as well or better by regional scientists and that the invincible ignorance (to employ a theological term) of "new" regional economists is simply another manifestation of the hubris of mainstream economics. But this is not a constructive evaluation. One might better argue that if regional science deals with significant issues, it is worthwhile to have many scholars working in the field, whether or not they explicitly identify themselves as regional scientists. If one really cares about the problems, one should not care about turf battles or who gets credit for what. What matters are the solutions. Following Emily Dickinson, if mainstream economists drew a circle that left regional science out, regional science should draw a wider circle and welcome them in.

Hansen, Higgins, and Savoie (1990) pointed out that swings of the political-economic pendulum tend to bring equity considerations, which often imply regional policy, back into national concern in 30-year cycles. They expected the early 1990s to be rife with renewed interest in this regard.

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Nasser (1993) suggests this may be the case with respect to regional policy issues.

Porter (1990) was perhaps the first non-regional scientist to draw widespread attention to the importance of regional concentrations of innovative economic activity in the creation of national competitive advantage. He further urged that regional economics should be part of the core economics curriculum. Despite his Harvard credentials, however, Porter was not in the economics department. Similar suggestions by Krugman (1991), a mainstream economist, have carried more weight within mainstream economics. Krugman rediscovered the fact that transportation costs, localization economies, and agglomeration economies have meant that national economic development is less national than regional; and he indicated in a preliminary manner how these phenomena might be systematically modeled.

Endogenous growth theory (Romer 1986; Gould and Ruffin 1993) has also rediscovered cumulative causation, the importance of which has long been recognized in regional science. There is, however, some controversy concerning the source of increasing returns at the regional level. Krugman (1991), for example, has emphasized the importance of regional specialization, whereas Glaeser et al. (1992), in keeping with ideas of Jacobs (1969, 1984), have emphasized the importance of knowledge spillovers among industries. It is perhaps an encouraging sign that mainstream economists received guidance from Jacobs, who clearly is not a mainstream economist. Be that as it may, the findings of Glaeser et al. were based on data from very mature cities. During periods of early rapid growth, externalities from regional specialization may be more significant than knowledge spillovers among industries. Garofoli (1990), for example, presents a theory of stages of regional development wherein early growth, based on within-sector networks of firms, advances to an increasingly complex division of labor characterized by increased interfirm relations both within and between sectors.

A Proposal for Broadening the Research Agenda

In the past, regional policy tended to be a reaction to such negative phenomena as high unemployment and relatively low per capita income and, for whatever reasons, was not very successful. It is encouraging that both regional science and the "new" regional economics are placing a more positive emphasis on regional economic development and a search for the factors that create a dynamic, innovative regional milieu. Regional science in the United States has been remiss in too often ignoring the importance of economic actors, human resources, and social, cultural, and historical factors in regional development (Bailly and Coffey 1994). As Vickerman (1994) points out, much continental European work has placed a strong emphasis on

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innovation, information diffusion, adaptability, small business culture, and regional identity in decision-making processes that lie behind market behavior.

The European Research Group on Innovative Milieux (Groupe de recherche Européen sur les milieux innovateurs, or GREMI) has been a creative force in broadening the policy-relevant framework of regional economic analysis in Europe. For the past decade, various international research teams grouped around GREMI have been developing common theories and methodologies for studying dynamic interrelations between technological innovation and regional development processes within the wider context of new forms of industrial organization and new paradigms of communications and information diffusion. The concept of an innovative milieu has played a significant role in these efforts. (Aydalot 1986; Aydalot and Keeble 1988; Camagni 1991; Maillat and Lecoq 1992; Maillat, Quévit, and Senn 1993). GREMI's studies have informed the regional policies of local, national, and supranational authorities. Serious consideration should be given to the creation of a North American group comparable to GREMI, and to encouraging participation by both regional scientists and new regional economists.

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